Equinix, Inc. (EQIX)

Interconnection moat with pricing power

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*Interconnection moat with pricing power. Equinix is the critical internet exchange point where networks meet. Power constraints and data center moratoriums make competing hubs harder to build, turning existing campuses into indispensable assets that support a scarcity premium on cross-connects and cabinet space. Recurring revenue machine. Revenue is highly recurring, driven by space, power, and interconnection fees with historically very low churn. MRR per cabinet and interconnection adds compound steadily, and Q2 2026 bookings accelerated 23% YoY on AI inference demand. Fairly valued at the reference price. Our REIT AFFO-based DCF values Equinix at $1,014.08 per share in the base case (8% revenue CAGR, 51% EBITDA margin), with a probability-blended target of $1,015.61, roughly 3% above the $985.98 reference price. That lands inside our Hold band, not the strong-buy $1,050 research estim Our framework screens it as a **Hold** with a $1,015.61 blended target, 3% above the current price.*

HOLD	$1,015.61	+3%	$985.98
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Recurring revenue machine. Revenue is highly recurring, driven by space, power, and interconnection fees with historically very low churn. MRR per cabinet and interconnection adds compound steadily, and Q2 2026 bookings accelerated 23% YoY on AI inference demand.

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$2.63B	$11.78	51.1%	$5.16	~4.3x	$423M
Q2 2026 REVENUE	AFFO PER SHARE (Q2)	ADJ. EBITDA MARGIN (FY26E)	QUARTERLY DIVIDEND	NET DEBT / EBITDA	ANN. GROSS BOOKINGS (Q2)

The moat is ai inference demand

Enterprise AI is moving from training to deployment; inference favors distributed, interconnection-rich campuses. Equinix reported ~60% of its largest recent deals tied to AI workloads, with annualized gross bookings up 23% in Q2 2026.

Three scenarios make the valuation range explicit

The DCF values Equinix, Inc. across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$820.52**	-17%
Base	50%	**$1,014.08**	+3%

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Bull	25%	**$1,213.77**	+23%

Bear ($820.52, -17%): Growth disappoints and multiples compress; the $820.52 target marks the downside case.

Bull ($1,213.77, +23%): Execution compounds and the multiple rerates; the $1,213.77 target marks the upside case.

The probability-blended target implies +3% upside

Blended target: $1,015.61 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +3% upside from the $985.98 reference price.

$1,015.61

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

REIT AFFO-based DCF: Bear $820.52 (5% CAGR, 48% margin), Base $1,014.08 (8% CAGR, 51% margin), Bull $1,213.77 (11% CAGR, 53% margin). Live cost of equity ~8.7% decaying to ~8.3% with beta 0.97 to 0.85. Blended $1,015.61 vs $985.98 spot = +3.1% upside, inside the Hold band.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,015.61 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AI inference demand. Enterprise AI is moving from training to deployment; inference favors distributed, interconnection-rich campuses. Equinix reported ~60% of its largest recent deals tied to AI workloads, with annualized gross bookings up 23% in Q2 2026. [Co. PR]

Scarcity premium pricing. Power constraints and local moratoriums make new competing hubs hard to build, giving Equinix pricing power on cross-connects and cabinet MRR. Existing campuses become more valuable as supply is capped. [Research]

Recurring revenue durability. Interconnection revenue is mission-critical and sticky; migrating physical routing gear is costly, producing very low churn and high revenue visibility. [Co. PR]

Dividend growth. The 10% dividend raise to $5.16 quarterly underscores management's confidence in AFFO durability; the REIT structure mandates distribution of taxable income, aligning payouts with cash generation. [Co. PR]

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What to monitor

28 Oct 2026. Q3 2026 results after the close; consensus ~$2.57B revenue. Management commentary on AI inference pipeline and bookings momentum is the key read.

Ongoing. AI inference deal flow: nearly 60% of the largest recent deals were AI-tied; continued enterprise AI agent adoption drives distributed low-latency demand.

Quarterly. Dividend trajectory: 10% raise to $5.16 quarterly in 2026; sustained AFFO growth supports further increases.

$2.63B	$11.78	51.1%	$5.16
Q2 2026 REVENUE	AFFO PER SHARE (Q2)	ADJ. EBITDA MARGIN (FY26E)	QUARTERLY DIVIDEND

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
FY22	$7.3B	N/A	$705M
FY23	$8.2B	N/A	$969M
FY24	$8.7B	N/A	$815M
FY25	$9.2B	N/A	$1.4B

Key risks

Rate sensitivity. As a leveraged REIT, Equinix's valuation is sensitive to the 10Y Treasury (currently ~5.1%). Sustained higher rates raise the cost of equity and the cost of funding expansion capex. [Yahoo]

Power and permitting constraints. The same moratoriums that protect the moat can also limit Equinix's own expansion where grid capacity is constrained, capping growth in the hottest markets. [Research]

Leverage. Net debt of ~$21B is ~4.3x FY26E adjusted EBITDA. Refinancing risk is muted by long-dated fixed-rate debt, but the leverage limits flexibility if growth disappoints. [Yahoo/Co. guide]

Investment view

[{'text': 'Sustained bookings growth above 20% with cross-connect pricing power intact would support a Bull-case rerating toward $1,200+.'}, {'text': 'A sharp rise in the 10Y Treasury or a slowdown in AI-driven bookings would compress the cost-of-equity valuation toward the Bear case near $820.'}]

Hold. The $1,015.61 blended target implies +3% upside, balancing the $820.52 / $1,014.08 / $1,213.77 Bear / Base / Bull targets.

Scarcity premium pricing

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Upcoming catalysts

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